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Decision after supervision according to the
Data Protection Regulation - CDON AB's
transfer of personal data to
third countries

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Decision of the Swedish Authority for Privacy Protection

The Swedish Authority for Privacy Protection finds that CDON AB processes personal data in violation of Article 44 of the General Data Protection Regulation¹ by using the tool Google Analytics, provided by Google LLC, on its website www.cdon.fi since August 14, 2020, and thereby transferring personal data to a third country without fulfilling the conditions set out in Chapter V of the Regulation.

The Swedish Authority for Privacy Protection orders, pursuant to Article 58.2 d of the General Data Protection Regulation, CDON AB to ensure that the company's processing of personal data in connection with the company's use of the tool Google Analytics complies with Article 44 and other provisions of Chapter V. This shall particularly be achieved by CDON AB ceasing to use the version of the tool Google Analytics that was used on August 14, 2020, unless sufficient protective measures have been implemented. The measures must be completed no later than one month after this decision has become final.

The Swedish Authority for Privacy Protection decides, pursuant to Articles 58.2 and 83 of the General Data Protection Regulation, that CDON AB shall pay an administrative fine of 300,000 (three hundred thousand) Swedish kronor for violation of Article 44 of the General Data Protection Regulation.

1 Account of the supervisory case

1.1 Processing

The Swedish Authority for Privacy Protection (IMY) has initiated supervision regarding CDON AB (hereinafter CDON or the company) following a complaint. The complaint concerns an alleged violation of the provisions in Chapter V of the General Data Protection Regulation related to the transfer of the complainant's personal data to a third country. The transfer is alleged to have occurred when the complainant visited the company's website, www.cdon.fi (hereinafter "the company's website" or "the Website") through the tool Google Analytics (hereinafter "the Tool") provided by Google LLC.

The complaint has been forwarded to IMY, as the responsible supervisory authority according to Article 56 of the General Data Protection Regulation. The transfer has occurred from the supervisory authority in the country where the complainant submitted their complaint (Austria) in accordance with the Regulation's provisions on cooperation in cross-border processing.

The processing at IMY has taken place through written correspondence. Given that it concerns cross-border processing, IMY has utilized the mechanisms for cooperation and consistency found in Chapter VII of the General Data Protection Regulation. The relevant supervisory authorities have been

the supervisory authorities in Germany, Norway, Estonia, Denmark, Portugal, Spain, Finland, and Austria.

1.2 What is stated in the complaint

The complaint mainly states the following.

1 Regulation (EU) 2016/679 of the European Parliament and of the Council of April 27, 2016, on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation).

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On August 14, 2020, the complainant visited CDON's website. During the visit, the complainant was logged into their Google account, which is linked to the complainant's email address. CDON had implemented a Javascript code for Google's services on its website, including Google Analytics. In accordance with section 5.1.1 b of the terms for Google's processing of personal data for Google's advertising products and also Google's terms for processing "the New Order Data Processing Conditions for Google Advertising Products," Google processes personal data on behalf of the data controller (i.e., CDON) and should therefore be classified as the company's data processor. During the visit to the company's website, CDON processed the complainant's personal data, at least the complainant's IP address and data collected through cookies. Some of the data has been transferred to Google. In accordance with section 10 of the terms regarding the processing of personal data for Google's advertising products, CDON has consented to Google processing personal data about the complainant in the USA. Such transfer of data requires legal support in accordance with Chapter V of the General Data Protection Regulation.

According to the Court of Justice of the European Union's ruling in Facebook Ireland and Schrems (Schrems II)², the company could no longer rely on a decision regarding an adequate level of protection under Article 45 of the General Data Protection Regulation for the transfer of data to the USA. CDON should not base the transfer of data on standard contractual clauses under Article 46.2 c of the General Data Protection Regulation if the recipient country does not ensure an adequate level of protection with regard to Union law for the personal data being transferred.

Google should be classified as a provider of electronic communication services in the sense referred to in 50 US Code § 1881 (4)(b) and is thus subject to surveillance by American intelligence services in accordance with 50 US § 1881a (section 702 of the Foreign Intelligence Surveillance Act, hereinafter "702 FISA").³ Google provides the American government with personal data in accordance with these provisions. CDON cannot therefore ensure an adequate level of protection for the complainant's personal data when it is transferred to Google.

1.3 What CDON has stated

CDON AB has, in statements dated January 15, 2021, February 15, 2022, and August 31, 2022, essentially stated the following.

1.3.1 Who has implemented the Tool and for what purpose, etc.

The code for the Tool was embedded on the Website at the time of the complaint and is still embedded on the Website. The decision to embed the Tool on the Website was made by CDON, a company registered in Sweden. Data is collected from all individuals visiting the Website, which likely includes visitors from more than one EU/EEA member state.

CDON uses the Tool to understand traffic and utilizes the Website to make various business-critical decisions. With the help of the Tool, for example, it is possible to find out which product categories are the most popular and how customers navigate, both to find CDON and to complete a purchase.

² Court of Justice of the European Union ruling in Facebook Ireland and Schrems (Schrems II), C-311/18, EU:C:2020:559.

³ See <https://www.govinfo.gov/content/pkg/USCODE-2011-title50/html/USCODE-2011-title50-chap36->

1.3.2 Recipients of the Data

In the context of CDON's use of the Tool on the Website, personal data is only disclosed to Google.

1.3.3 The Data Processed in the Tool and What Constitutes Personal Data

The data processed within the framework of CDON's use of the Tool includes various attributes or actions that the visitor has taken on the website, such as:

1. Which elements the user has seen while navigating and browsing the Website,
2. Clicked on an Image/Banner on the Website,
3. Added or removed something from the shopping cart,
4. Reached the checkout or completed a purchase,
5. Clicked on suggestions for accessories on product pages or added something to the wishlist,
6. Whether the user is a member of CDON's customer club, and
7. What search string the user has used to search internally on the Website.

In addition to this data, Google also gains access to each user's IP address.

1.3.4 Categories of Persons Affected by the Processing

The categories of persons affected by the processing are all categories of persons who visit the Website. CDON does not have the ability to distinguish whether data concerning particularly vulnerable individuals is processed. This is because CDON only processes anonymous "behavioral data" regarding how a user navigates the Website. The information processed by CDON is no more than what pertains to the actual transmission of the information to Google. CDON cannot identify individual users either before or after the disclosure to Google. Thus, CDON does not have knowledge of which category of person a unique user belongs to.

1.3.5 When the Code for the Tool is Executed and Recipients are Granted Access

Immediately after the Website has fully loaded in the user's browser, information about where the user is located on the Website has been transmitted to Google. Since January 12, 2021, CDON has activated a tool that requires the respective user's consent for the content of the Tool to be integrated and executed in the user's browser.

1.3.6 How Long Personal Data is Stored

Data and other information are not stored by CDON but are transmitted in real-time from CDON to Google using the Tool. CDON's assessment is that the anonymization of IP addresses described below means that the data transferred to Google can no longer be linked to a specific individual and is therefore not to be considered personal data. At Google, personal data is stored only until the IP addresses have been truncated. According to information from Google, truncation is performed as soon as it is technically possible.

1.3.7 Which Countries Personal Data is Processed In

The data transferred to the Tool is stored, among other places, in the USA.

4 Truncation of the IP address means that asterisks or zeros replace other digits in the last octets (the last digits in an IP address, a number between 0 and 255).

1.3.8 CDON's Relationship with Google LLC

CDON shares the assessment made by Google regarding the distribution of personal data responsibility, which means that Google is considered to process data within the framework of CDON's use of the Tool as a data processor on behalf of CDON. CDON acts as the data controller. The terms applicable to the Tool are both Google's user terms and Google's terms for data processing. The distribution of personal data responsibility agreed upon by Google and CDON is outlined in the Google Ads Data Processing Terms.

1.3.9 Ensuring that Processing Does Not Occur for the Recipients' Own Purposes

CDON has not had reason to believe that Google does not meet the requirements arising from the aforementioned Google Ads Data Processing Terms, which is why Google's compliance with these has not yet been further verified by CDON.

1.3.10 Description of CDON's Use of the Tool

CDON uses the Tool to understand the traffic on the Website and to make various business-critical decisions based on that information. With the help of the Tool, it is possible, for example, to find out which product categories are the most popular and how customers navigate the Website to reach CDON and complete a purchase.

1.3.11 Own Controls of Transfers Affected by the Schrems II Ruling

As a result of the Schrems II ruling, CDON has taken measures to identify which of CDON's partners are located in countries outside the EU/EEA and, in relation to each partner, has requested information about what additional security measures they have taken as a result of the ruling.

On October 26, 2020, CDON requested information from Google regarding the effect of CDON's embedding of the Tool's code on the Website. Google has not responded to CDON's request for information, and for this reason, in addition to reiterating the request to Google and reminding them for a response, CDON has sought publicly available information about what measures have been taken by Google as a result of the ruling.

According to publicly available information from Google, in addition to the standard contractual clauses, Google has taken the following additional protective measures in relation to the Tool:

- Google ensures a secure transfer of JavaScript libraries and measurement data using the encryption protocol HTTP HSTS (Strict Transport Security).
- The Tool has been certified according to internationally accepted independent security standards ISO 27001.

In addition to these measures, CDON has also chosen to activate IP anonymization in the code for the Tool, which means that IP addresses are truncated. IP anonymization (truncation) means that the last octet in IPv4 addresses and the last 80 bits in IPv6 addresses are deleted immediately after the addresses have been sent to the collection network for the Tool. Since CDON's perception is that it is the IP addresses that cause the other data collected and transmitted using the Tool to be considered personal data, CDON's assessment is that truncation...

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The anonymization/truncation of IP addresses means that no information transmitted to Google is to be considered personal data after the IP anonymization/truncation has been carried out.

1.3.12 Transfer tools according to Chapter V of the Data Protection Regulation

Transfers of personal data to recipients in third countries within the framework of CDON's use of the Tool are carried out with the support of the EU Commission's standard contractual clauses (2010/87/EU).

In accordance with the versions of Google's data processing terms that have been in effect since August 12, 2020, Google and CDON have entered into the EU's standard contractual clauses for the transfer of data from a data controller within the EU to a data processor outside the EU, based on the

EU Commission's template 2010/87/EU.

1.3.13 Control of obstacles to fulfillment in legislation in third countries

In order to ensure that the contractual obligations in the standard contractual clauses are fulfilled, CDON has sent the request for information to Google regarding the third country transfer described above, and CDON has not received any response.

1.3.14 Which information is covered by the definition of personal data

It is important to distinguish between the concepts of being able to differentiate users and not being able to identify a specific individual. The latter, identification of a specific individual, is not the purpose of using the Tool and it is also not possible with the information collected by unique identifiers (which can be traced to the browser or device (i.e., CDON's account ID for Google Analytics)), either alone or in combination with, among other things, the information generated during visits to the Website (i.e., URL and HTML title of the Website or information about the browser). CDON is firmly of the opinion that IP addresses are necessary for, among other things, processing the information generated during visits to the Website (i.e., URL and HTML title of the Website or information about the browser) to be considered personal data. CDON acknowledges that dynamic IP addresses may, under certain circumstances, be considered personal data. However, the differentiation of users enabled by the information collected by unique identifiers is not sufficient for a specific individual to be identified, with or without aids such as, for example, filtering, but only in combination with a complete IP address can the information collected by unique identifiers and the information generated during visits to the Website come to constitute personal data.

The judgments Breyer⁵ and M.I.C.M.⁶ support the assessment that dynamic IP addresses are to be regarded as personal data in all cases. According to the Court of Justice of the European Union, dynamic IP addresses should be considered personal data in relation to the relevant provider of information or communication services, not in relation to every actor who gains access to an IP address. In the Breyer case regarding the assessment of which aids may reasonably be used to identify the individual in question, the Court of Justice of the European Union assessed that under German law there were legal means that enable the provider of electronic information or communication services, particularly in the event of IT attacks, to turn to the competent authority to take necessary measures to obtain such information from the internet provider and initiate criminal proceedings. It may be questioned whether a U.S. authority with a truncated IP address, which may constitute one of 256 alternative IP addresses, has

5 Judgment of the Court of Justice of the European Union Breyer, C-582/14, EU:C:2016:779.

6 Judgment of the Court of Justice of the European Union M.I.C.M, C-597/19, EU:C:2021:492.

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such legal means that may reasonably be used to enable the identification of an individual, when in the case of Breyer, even a complete IP address was considered problematic in relation to the actual provider of the physical person's IT services.

1.3.15 The effectiveness of the protective measures taken by Google and CDON

With reference to the responses above, CDON, in addition to activating IP anonymization, has not considered implementing supplementary measures as Google has informed that further actions have been taken.

The truncation of IP addresses is an effective protective measure. Regardless of whether the truncation of IP addresses occurs before, in connection with, or directly after the transmission of information from CDON to Google. The truncation of IP addresses means that the information stored on Google's servers in the USA does not constitute personal data. In a situation where truncation is carried out only when the data has been received by Google LLC, but at the latest directly in connection with the receipt, the truncation means that all data transferred by CDON to Google and stored on Google's servers will not constitute personal data since the IP address, which is the unique

identifier that causes the other transmitted information to constitute personal data, has been anonymized. An IP address without the last octet can be any of 256 alternative IP addresses and therefore a truncated IP address cannot, through elimination together with other information, be considered to constitute personal data.

1.3.16 Additional protective measures taken beyond those implemented by Google

CDON has conducted an in-depth analysis and investigation of the possibilities to switch to another solution that does not involve the use of the Tool during the handling of the case. Coop has made preparations for such a change, which the company hopes to implement promptly in the event that IMY's final decision concludes that the Tool is not compliant with the General Data Protection Regulation and this becomes legally binding. However, it should be emphasized that CDON's analysis shows that such a change will be very burdensome for the company (especially in comparison to other actors in the market) and therefore cannot be implemented until clarity exists regarding what applies to the Tool concerning what constitutes a sufficient protective measure.

1.4 What Google LLC has stated

IMY has added to the case a statement from Google LLC (Google) dated April 9, 2021, which Google submitted to the Austrian supervisory authority. The statement responds to questions that IMY and several supervisory authorities have posed to Google regarding the partially joint handling of similar complaints that have been submitted to these authorities. CDON has been given the opportunity to comment on Google's statement. From Google's statement, the following is noted about the Tool.

A JavaScript code is included on a webpage. When a user visits (calls) a webpage, the code triggers a download of a JavaScript file. Thereafter, the tracking operation for the Tool is performed, which consists of collecting information related to the call in various ways and sending the information to the Tool's servers.

A website administrator who has integrated the Tool on their website can send instructions to Google for processing the data collected. These instructions are transmitted via the so-called tag manager that manages the tracking code that the website administrator has integrated into their website and via

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the settings of the tag manager. The entity that has integrated the Tool can make various settings, for example regarding storage duration. The Tool also allows the entity that has integrated it to monitor and maintain the stability of its website, for instance by staying informed about events such as peaks in visitor traffic or lack of traffic. The Tool also enables a website administrator to measure and optimize the effectiveness of advertising campaigns conducted using other tools from Google.

In this context, the Tool collects the visitor's HTTP requests and information about, among other things, the visitor's browser and operating system. According to Google, an HTTP request for any page contains information about the browser and the device making the request, such as domain name, and information about the browser, such as type, referrer, and language. The Tool stores and reads cookies in the visitor's browser to evaluate the visitor's session and other information about the request. Through these cookies, the Tool enables the identification of unique users (UUID) across browsing sessions, but the Tool cannot identify unique users across different browsers or devices. If a website owner's website has its own authentication system, the website owner can use the ID function to more accurately identify a user across all devices and browsers they use to access the website. When the information is collected, it is transferred to the Tool's servers. All data collected via the Tool is stored in the USA.

Google has implemented, among other things, the legal, organizational, and technical safeguards listed below to regulate the transfer of data within the framework of the Tool.

Google has taken legal and organizational safeguards such as always conducting a thorough examination of whether a request for access from government authorities regarding user data can be

fulfilled. It is lawyers/specially trained personnel who carry out these examinations and investigate whether such a request is in accordance with applicable laws and Google's guidelines. The registered individuals are informed about the disclosure, unless prohibited by law or if it would negatively impact an emergency situation. Google has also published a policy on the company's website regarding how such requests for access from government authorities to user data should be carried out.

Google has implemented technical safeguards such as protecting personal data from eavesdropping during the transfer of data in the Tool. By default, using HTTP Strict Transport Security (HSTS), which instructs browsers to switch from HTTP to SSL (HTTPS) to use an encryption protocol for all communication between end users, websites, and the Tool's servers. Such encryption prevents intruders from passively eavesdropping on communication between websites and users.

Google also uses an encryption technique to protect personal data known as "data at rest" in data centers, where user data is stored on a disk or backup media to prevent unauthorized access to the data.

In addition to the above measures, website owners can use IP anonymization by utilizing the settings provided by the Tool to limit Google's use of personal data. Such settings primarily include enabling IP anonymization in the code of the Tool, which means that IP addresses are truncated and contribute to data minimization. If the IP anonymization service is fully utilized, the anonymization of the IP address occurs almost immediately after the request has been received.

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Google also restricts access to the data from the Tool through access control and by ensuring that all personnel have undergone training regarding information security.

1.5 CDON's Comment on Google's Statement

CDON maintains what was stated in the statement of January 15, 2021. In addition to this, CDON presents the following in response to Google's statement of April 9, 2021.

CDON has implemented the security measures provided by the Tool in its use of the Tool.

Google's statement indicates, among other things, the following:

"As a general matter, unless instructed to do so, Google does not attempt to link data it collects as a processor on behalf of website owners using Google Analytics with data it collects as a controller in relation to its users and the relevant policies and systems are designed to avoid such linking."

Google thus asserts that the owner of the website has full control over the personal data that Google processes, as there is an option for users of the Tool to give Google specific instructions to link personal data with users. CDON has not given Google any such instructions.

Instead, CDON has focused on using the settings provided by the Tool to limit Google's use of personal data. Such settings primarily include activating IP anonymization in the code of the Tool, which means that IP addresses are truncated. CDON has also limited the retention period for personal data and has not activated the User-ID feature. CDON has therefore not been able to link a fixed ID for a single user to the user's engagement data from one or more sessions initiated from one or more devices.

In summary, CDON maintains that the use of the Tool has been in accordance with the security measures that the Tool offers. It should also be noted that obligations under Chapter V of the General Data Protection Regulation are primarily obligations imposed on the exporter, which in this case is CDON's reseller (see EDPB guidelines 05/2021 and the decision of the Austrian Data Protection Authority regarding Google Analytics in case 2021-0.586.257 (D155.027)).

2 Justification of the Decision

2.1 Framework for the Review

IMY has, based on the complaint in the case, only reviewed whether CDON transfers personal data to the third country USA within the framework of the Tool and whether CDON has legal support for this

under Chapter V of the General Data Protection Regulation. The supervision does not cover whether CDON's processing of personal data is otherwise compliant with the General Data Protection Regulation.

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2.2 This concerns the processing of personal data

2.2.1 Applicable provisions, etc.

For the General Data Protection Regulation (GDPR) to be applicable, personal data must be processed.

According to Article 1.2 of the GDPR, the regulation aims to protect the fundamental rights and freedoms of natural persons, particularly their right to the protection of personal data. According to Article 4.1 of the regulation, personal data is defined as “any information relating to an identified or identifiable natural person (hereinafter referred to as a data subject), where an identifiable natural person is one who can be identified, directly or indirectly, particularly by reference to an identifier such as a name, an identification number, location data, an online identifier, or one or more factors specific to the physical, physiological, genetic, mental, economic, cultural, or social identity of that natural person.” To determine whether a natural person is identifiable, all means that may reasonably be used, either by the data controller or by another person, to identify the natural person directly or indirectly should be considered (Recital 26 of the GDPR).

The concept of personal data can encompass all information, both objective and subjective, provided that it “relates to” a specific person, which it does if, due to its content, purpose, or effect, it is linked to the person. The term “indirect” in Article 4.1 of the GDPR indicates that it is not necessary for the information itself to enable the identification of the data subject for it to be considered personal data. Furthermore, Recital 26 of the GDPR states that to determine whether a natural person is identifiable, all means, such as, for example, singling out, which may reasonably be used, either by the data controller or by another person, to identify the natural person directly or indirectly, should be taken into account. To establish whether means can reasonably be expected to be used to identify the natural person, all objective factors, such as costs and time required for identification, should be considered, taking into account the available technology at the time of processing. Article 4.5 of the regulation indicates that pseudonymization refers to the processing of personal data in such a way that the personal data can no longer be attributed to a specific data subject without the use of additional information, provided that such additional information is kept separately and is subject to technical and organizational measures that ensure that the personal data is not attributed to an identified or identifiable natural person.

So-called “online identifiers” (sometimes referred to as “internet identifiers”) – e.g., IP addresses or information stored in cookies – can be used to identify a user, particularly when combined with other similar types of information. According to Recital 30 of the GDPR, natural persons can be linked to online identifiers provided by their devices, such as IP addresses, cookies, or other identifiers. This can leave traces that, especially in combination with unique identifiers and other data collected, can be used to create profiles of natural persons and identify them. The Court of Justice of the European Union, in the Breyer judgment, established that a person is not considered identifiable through a certain piece of information if the risk of identification is practically negligible, which it is if

7 Judgment of the Court of Justice of the European Union in Nowak, C-434/16, EU:C:2017:994, paragraphs 34–35.

8 Judgment of the Court of Justice of the European Union in Breyer, C-582/14, EU:C:2016:779, paragraph 41.

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Identification of the relevant person is prohibited by law or impossible to carry out in practice.⁹ However, the Court of Justice of the European Union has established in the judgment M.I.C.M. from 2021 and in the judgment Breyer that dynamic IP addresses constitute personal data in relation to the entity processing them, when that entity also has a legal possibility to identify the holders of the internet connections using additional information available from third parties.¹⁰

2.2.2 Assessment by the Swedish Data Protection Authority

To determine whether the data processed through the Tool constitutes personal data, the Swedish Data Protection Authority (IMY) will assess whether Google or CDON, through the implementation of the Tool, can identify individuals, e.g., the complainant, when visiting the Website or whether the risk of this is negligible.¹¹

IMY believes that the data being processed constitutes personal data for the following reasons.

The investigation shows that CDON has implemented the Tool by inserting a JavaScript code (a tag), provided by Google, into the source code of the Website. While the page is loading in the visitor's browser, the JavaScript code is loaded from Google LLC's servers and executed locally in the visitor's browser. A cookie is simultaneously set in the visitor's browser and saved on the computer. The cookie contains a text file that collects information about the visitor's navigation on the Website. Among other things, a unique identifier is established in the value of the cookie, and this unique identifier is generated and managed by Google.

When the complainant visited the Website, or a subpage of the Website, the following information was transmitted via the JavaScript code from the complainant's browser to Google LLC's servers:

1. Unique identifier(s) that identified the browser or device used to visit the Website, as well as a unique identifier that identified CDON (i.e., CDON's account ID for Google Analytics).
2. Web address (URL) and HTML title of the website and webpage that the complainant visited.
3. Information about the browser, operating system, screen resolution, language settings, as well as the date and time of access to the Website.
4. The complainant's IP address.

During the complainant's visit, the aforementioned identifier (according to point 1 above) was set in cookies named “_gads,” “_ga,” and “_gid” and was subsequently transmitted to Google LLC. These identifiers have been created for the purpose of distinguishing individual visitors, such as the complainant. The unique identifiers thus make the visitors to the Website identifiable. Even if such unique identifiers (according to point 1 above) in themselves would not be considered to make individuals identifiable, it must be taken into account that these unique identifiers in the present case can be combined with additional elements (according to points 2–4 above) and that it is possible to draw conclusions regarding information (according to points 2–4 above) that results in data constituting personal data, regardless of whether the IP address has not been fully transmitted.

⁹ Judgment of the Court of Justice of the European Union Breyer, C-582/14, EU:C:2016:779, paragraphs 45–46.

¹⁰ Judgment of the Court of Justice of the European Union M.I.C.M., C-597/19, EU:C:2021:492, paragraphs 102–104 and judgment Breyer, C-582/14, EU:C:2016:779, paragraph 49.

¹¹ See the Administrative Court of Appeal in Gothenburg's judgment on November 11, 2021, in case no. 2232-21, agreeing with the assessment of the lower court.

Combining data (according to points 1–4 above) means that individual visitors to the Website become even more distinguishable. It is thus possible to identify individual visitors to the Website. This is

sufficient in itself for it to be considered personal data. Knowledge of the actual visitor's name or physical address is not required, as the distinction (through the term "singling out" in Recital 26 of the General Data Protection Regulation, "singling out" in the English version) is sufficient to make the visitor indirectly identifiable. It is also not required that Google or CDON intends to identify the complainant; the mere possibility of doing so is sufficient to determine whether it is possible to identify a visitor. Objective means that can reasonably be used either by the data controller or by someone else are all means that can reasonably be used for the purpose of identifying the complainant. Examples of objective means that can reasonably be used include access to additional information from a third party that would make it possible to identify the complainant, taking into account both the available technology at the time of identification and the cost (time required) for the identification. IMY notes that the Court of Justice of the European Union has established through the judgments M.I.C.M. and Breyer that dynamic IP addresses constitute personal data in relation to the entity processing them, when that entity also has a legal possibility to identify the holders of the internet connections using additional information that third parties possess. IP addresses do not lose their character as personal data solely because the means of identification lie with a third party. The Breyer judgment and the M.I.C.M. judgment should be interpreted based on what is actually stated in the judgments, namely that if there is a legal possibility to access supplementary information for the purpose of identifying the complainant, it is objectively clear that there is a "means that can reasonably be used" to identify the complainant. According to IMY, the judgments should not be read in the opposite way, such that it must be demonstrated that there is a legally regulated possibility to access data that can link IP addresses to physical persons for the IP addresses to be considered personal data. An interpretation of the concept of personal data that requires a legal possibility to link such data to a physical person would, according to IMY, imply a significant limitation of the regulation's scope of protection and open up possibilities to circumvent the protection in the regulation. This interpretation would, among other things, contradict the purpose of the regulation according to Article 1.2 of the General Data Protection Regulation. The Breyer judgment was decided under the previously applicable Directive 95/46, and the concept of "singling out" according to Recital 26 of the current regulation (that knowledge of the actual visitor's name or physical address is not required, as the distinction in itself is sufficient to make the visitor identifiable) was not stated in the previously applicable directive as a method for identifying personal data.

In this context, other data (according to points 1–3 above) that the IP address can be combined with to enable identification also comes into play. Google's action regarding the truncation of an IP address means that it is still possible to distinguish the IP address, as it can be linked to other transmitted data to a third country (to the USA). This enables identification, which in itself is sufficient for the data together to constitute personal data.

12 Judgment of the Court of Justice of the European Union M.I.C.M, C-597/19, EU:C:2021:492, paragraphs 102–104 and judgment Breyer, C-582/14 EU:C:2016:779, paragraph 49.

13 Truncation of an IP address means that asterisks or zeros replace other digits in the last octets (the last digits in an IP address, a number between 0 and 255), which can only be one of 256 alternatives. The effect of this action means that it is still possible to distinguish the IP address from the other IP addresses (255 alternatives), as the IP address can be linked to other transmitted data (e.g., information about the device and time of the visit) to a third country.

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Furthermore, several other supervisory authorities within the EU/EEA have decided that the transfer of personal data to third countries has occurred through the use of the Tool, as it has been possible to combine IP addresses with other data (according to points 1–3 above), thereby enabling the differentiation of data and identification of IP addresses, which in itself is sufficient to determine that it concerns the processing of personal data.¹⁴

IMY notes that there may also be reasons to compare IP addresses with pseudonymized personal data. Pseudonymization of personal data means, according to Article 4.5 of the General Data Protection Regulation, that the data – similar to dynamic IP addresses – cannot be directly attributed to a specific data subject without the use of supplementary information. According to Recital 26 of the General Data Protection Regulation, such data should be considered data about an identifiable natural person.

A narrower interpretation of the concept of personal data would, according to IMY, undermine the scope of the right to the protection of personal data, as guaranteed in Article 8 of the Charter of Fundamental Rights of the European Union, as it would allow data controllers to specifically identify individuals along with personal data (e.g., when they visit a specific website) while denying individuals the right to protection against the dissemination of such data about them. Such an interpretation would undermine the level of protection for individuals and would not be consistent with the broad scope that data protection regulations have been given in the case law of the Court of Justice of the European Union.¹⁵

CDON has also, by the complainant being logged into their Google account during the visit to the Website, processed data from which conclusions could be drawn about the individual based on their registration with Google. Google's statement indicates that the implementation of the Tool on a website allows for information to be obtained that a user of a Google account (i.e., a registered user) has visited the website in question. Google states that certain conditions must be met for Google to receive such information, e.g., that the user (the complainant) has not disabled processing for and display of personalized ads. Since the complainant was logged into their Google account during the visit to the Website, Google may still have had the opportunity to obtain information about the logged-in user's visit to the Website. The fact that it does not appear from the complaint that no personalized ads were displayed does not mean that Google cannot obtain information about the logged-in user's visit to the Website.

IMY finds, in light of the unique identifiers that can identify the browser or device, the ability to trace the individual through their Google account, the dynamic IP addresses, and the ability to combine these with additional data, that CDON's use of the Tool on a webpage constitutes the processing of personal data.

14 Austria's supervisory authority (Datenschutzbehörde) decision of April 22, 2022, regarding complaints about Google Analytics represented by NOYB with local case number 1354838270, France's supervisory authority (CNIL) decision of February 10, 2022, represented by NOYB, and Italy's supervisory authority (Garante) decision of June 9, 2022, regarding complaints about Google Analytics represented by NOYB, local case number 9782890.

15 See, for example, the Court of Justice of the European Union's judgment in *Latvijas Republikas Saeima (Points de pénalité)*, C-439/19, EU:C:2021:504, paragraph 61, judgment in *Nowak*, C-434/16, EU:C:2017:994, paragraph 33, and judgment in *Rijkeboer*, C-553/07, EU:C:2009:293, paragraph 59.

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2.3 CDON is the data controller for the processing

The data controller is, among other things, a legal entity that alone or together with others determines the purposes and means of the processing of personal data (Article 4.7 of the General Data Protection Regulation). The data processor is, among other things, a legal entity that processes personal data on behalf of the data controller (Article 4.8 of the General Data Protection Regulation).

The responses provided by CDON indicate that CDON has made the decision to implement the Tool on the Website. Furthermore, it is evident that CDON's purpose with this has been to enable the company to analyze how the Website is used, particularly to track the usage of the website over time. IMY finds that by deciding to implement the Tool on the Website for the stated purpose, CDON has established the purposes and means of the collection and the subsequent transfer of these personal

data. CDON is therefore the data controller for this processing.

2.4 Transfer of personal data to third countries

The investigation shows that the data collected via the Tool is stored by Google LLC in the USA. Thus, the personal data collected via the Tool is transferred to the USA.

The question is therefore whether CDON's transfer of personal data to the USA is compliant with Article 44 of the General Data Protection Regulation and has legal support in Chapter V.

2.4.1 Applicable provisions, etc.

According to Article 44 of the General Data Protection Regulation, titled "General principle for the transfer of data," the transfer of personal data that is being processed or is intended to be processed after being transferred to a third country – i.e., a country outside the EU/EEA – may only take place provided that the data controller and the data processor, subject to other provisions of the General Data Protection Regulation, meet the conditions in Chapter V. All provisions in the mentioned chapter must be applied to ensure that the level of protection of natural persons guaranteed by the General Data Protection Regulation is not undermined.

Chapter V of the General Data Protection Regulation contains tools that can be used for transfers to third countries to ensure a level of protection that is essentially equivalent to that guaranteed within the EU/EEA. This may include transfers based on a decision regarding an adequate level of protection (Article 45) and transfers subject to appropriate safeguards (Article 46). Additionally, there are exceptions for specific situations (Article 49).

The Court of Justice of the European Union has invalidated the decision on adequate protection that previously applied regarding the USA in the judgment *Schrems II*. Since a decision on adequate protection has been lacking since July 2020, transfers to the USA cannot be based on Article 45. Article 46.1 stipulates, among other things, that in the absence of a decision in accordance with Article 45.3, a data controller or a data processor may only transfer personal data to a third country after having implemented appropriate safeguards, and on

16 Commission Implementing Decision (EU) 2016/1250 of July 12, 2016, pursuant to the European Parliament and Council Directive 95/46/EC on whether an adequate level of protection is ensured by the Privacy Shield between the European Union and the United States and the EU Court of Justice ruling *Facebook Ireland and Schrems (Schrems II)*, C-311/18, EU:C:2020:559.

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conditions that statutory rights for data subjects and effective legal remedies for data subjects are available. Article 46.2 c states that such appropriate protective measures may take the form of standard contractual clauses adopted by the Commission in accordance with the review procedure referred to in Article 93.2.

In the judgment *Schrems II*, the Court of Justice of the European Union did not invalidate standard contractual clauses as transfer tools. However, the Court noted that they are not binding on authorities in third countries. The Court of Justice stated that "[e]ven if there are situations where the recipient of such a transfer, depending on the legal situation and applicable practices in the relevant third country, can guarantee the necessary protection of data solely on the basis of the standard contractual clauses, there are other situations in which the provisions of those clauses cannot be a sufficient means to effectively ensure the protection of the personal data transferred to the relevant third country." According to the Court of Justice, this is "inter alia the case when the legislation of that third country allows the authorities in that third country to interfere with the rights of the data subjects regarding that data."

The reason the Court of Justice invalidated the decision on the adequate level of protection with the USA was how the American intelligence services can access personal data. According to the Court, the conclusion of standard contractual clauses cannot in itself ensure a level of protection that is

required under Article 44 of the General Data Protection Regulation, as the guarantees specified therein do not apply when such authorities request access. The Court of Justice therefore stated the following:

“It follows that the standard contractual clauses adopted by the Commission pursuant to Article 46.2 c of the same Regulation are intended solely to provide the data controllers or their processors established in the Union with contractual protection measures that are applied uniformly in all third countries and thus independently of the level of protection ensured in each of those countries. Since these standard contractual clauses, by their nature, cannot lead to protective measures that go beyond a contractual obligation to ensure that the level of protection required by Union law is respected, it may be necessary, depending on the situation prevailing in a particular third country, for the data controller to take additional measures to ensure that the level of protection is respected.”

In the European Data Protection Board (EDPB) recommendations on the implications of the judgment, it is clarified that if the assessment of legislation and practice in the third country indicates that the protection that the transfer tool is supposed to guarantee cannot be maintained in practice, the exporter, within the framework of its transfer, must generally either suspend the transfer or take appropriate additional protective measures. The EDPB states that “additional measures can only be considered effective in the sense intended by the Court of Justice in the ‘Schrems II’ judgment if and to the extent that they – alone or in combination – address the specific shortcomings identified in the assessment of the situation in the third country regarding its laws and practices applicable to the transfer.”

17 Paragraphs 125-126.

18 Paragraph 133.

19 EDPB, Recommendations 01/2020 on measures that supplement transfer tools to ensure compliance with the EU level of protection of personal data, Version 2.0, adopted on June 18, 2021 (hereinafter “EDPB Recommendations 01/2020”).

20 EDPB Recommendations 01/2020, paragraph 75; IMY’s translation.

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According to the EDPB's recommendations, such additional protective measures can be divided into three categories: contractual, organizational, and technical.²¹ Regarding contractual measures, the EDPB states that such measures “[...] can complement and reinforce the protective measures provided by the transfer tool and relevant legislation in the third country [...]. Given that the contractual measures are of such a nature that they generally cannot bind the authorities in that third country since they are not parties to the agreement, these measures often need to be combined with other technical and organizational measures to provide the level of data protection required [...]”.²²

Regarding organizational measures, the EDPB emphasizes that “[c]hoosing and implementing one or more of these measures will not necessarily and systematically ensure that [a] transfer meets the fundamental equivalence standard required under EU law. Depending on the specific circumstances surrounding the transfer and the assessment made of the third country's legislation, organizational measures are required to complement contractual and/or technical measures to ensure a level of protection for personal data that is essentially equivalent to that guaranteed within the EU/EEA.”²³

Regarding technical measures, the EDPB points out that “these measures will be particularly necessary when the legislation in that country imposes obligations on the importer that conflict with the guarantees in Article 46 of the data protection regulation's transfer tool and that may particularly infringe upon the contractual guarantee of essentially equivalent protection against access by the authorities in that third country to these data.”²⁴ The EDPB states that “the measures outlined [in the Recommendations] are intended to ensure that access to the transferred data by public authorities in third countries does not infringe upon the appropriateness of the appropriate protective measures in

Article 46 of the data protection regulation's transfer tool. These measures would be necessary to guarantee an essentially equivalent level of protection as that guaranteed within the EU/EEA, even if access by public authorities is consistent with the legislation in the importer's country, where such access in practice goes beyond what is necessary and proportionate in a democratic society. The purpose of these measures is to prevent potentially unlawful access by preventing authorities from identifying the data subjects, drawing conclusions about them, singling them out in another context, or linking the transferred data to other datasets that may include network identifiers provided by the entities, applications, tools, and protocols used by data subjects in other contexts.”²⁵

2.4.2 Assessment of the Swedish Data Protection Authority

2.4.2.1 Applicable Transfer Tool

The investigation shows that CDON and Google have entered into standardized data protection clauses (standard contractual clauses) in the sense referred to in Article 46 for the transfer of personal data to the USA. These clauses are in line with those published by the European Commission in Decision 2010/87/EU and thus constitute a transfer tool under Chapter V of the data protection regulation.

21 EDPB's Recommendations 01/2020, paragraph 52.

22 EDPB's Recommendations 01/2020, paragraph 99; IMY's translation.

23 EDPB's Recommendations 01/2020, paragraph 128; IMY's translation.

24 EDPB's Recommendations 01/2020, paragraph 77; IMY's translation.

25 EDPB's Recommendations 01/2020, paragraph 79; IMY's translation.

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2.4.2.2 Legislation and Situation in the Third Country

As indicated by the ruling in Schrems II, the use of standard contractual clauses may require additional protective measures as a complement. Therefore, an analysis of the legislation in the relevant third country needs to be conducted.

IMY believes that the analysis already conducted by the Court of Justice of the European Union in the ruling Schrems II, which pertains to similar circumstances, is relevant and current, and that it can thus be used as a basis for the assessment in this case without any further analysis of the legal situation in the USA needing to be performed.

Google LLC, as the importer of the data to the USA, should be classified as a provider of electronic communication services in the sense referred to in 50 US Code § 1881 (b)(4). Google is therefore subject to surveillance by American intelligence agencies in accordance with 50 US § 1881a (“702 FISA”) and is thus obligated to provide the U.S. government with personal data when 702 FISA is invoked.

The Court of Justice of the European Union stated in the ruling Schrems II that the American surveillance programs based on 702 FISA, Executive Order 12333 (hereinafter “E.O. 12333”), and Presidential Policy Directive 28 (hereinafter “PPD-28”) in American law do not meet the minimum requirements that apply under Union law according to the principle of proportionality. This means that the surveillance programs based on these provisions cannot be considered limited to what is strictly necessary. The Court also noted that the surveillance programs do not provide the data subjects with rights that can be asserted against U.S. authorities in court, which means that these individuals do not have the right to an effective remedy.²⁶

In light of this, IMY concludes that the use of the European Commission's standard contractual clauses is not sufficient in itself to achieve an acceptable level of protection for the transferred personal data.

2.4.2.3 Additional Protective Measures Implemented by Google and CDON

The next question is whether CDON has taken sufficient additional protective measures.

As the data controller and exporter of the personal data, CDON is obligated to ensure compliance with

the rules of the General Data Protection Regulation. This responsibility includes, among other things, assessing in each individual case of transfers of personal data to third countries what additional protective measures should be used and to what extent, including evaluating whether the measures that the recipient (Google) and the exporter (CDON) have collectively taken are sufficient to achieve an acceptable level of protection.

2.4.2.3.1 Google's Additional Protective Measures

Google LLC, as the importer of personal data, has taken contractual, organizational, and technical measures to complement the standard contractual clauses. Google has described in a statement dated April 9, 2021, that the company has taken measures. The question is whether the additional protective measures taken by CDON and Google LLC are effective, in other words, whether they prevent American intelligence agencies from accessing the transferred personal data.

Regarding the legal and organizational measures, it can be noted that neither information to users of the Tool (such as CDON),²⁷ the disclosure of a

26 Point 184 and 192. Point 259 and subsequent.

27 Regardless of whether such a notification would even be permitted under U.S. law.

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An access report or a publicly available "policy for handling government requests" does not prevent or reduce the capabilities of U.S. intelligence services to access personal data. Furthermore, it is not described what it means for Google LLC to conduct a "thorough examination of each request" regarding the "legality" from U.S. intelligence services. The Swedish Data Protection Authority (IMY) notes that this does not affect the legality of such requests, as they are not in compliance with the requirements of EU data protection regulations according to the Court of Justice of the European Union.

Regarding the technical measures taken, it can be noted that neither Google LLC nor CDON has clarified how the described measures—such as protecting communication between Google's services, protecting data during transfer between data centers, protecting communication between users and websites, or "physical security"—prevent or reduce the capabilities of U.S. intelligence services to gain access to the data under U.S. regulations.

Concerning the encryption technology used—for example, for so-called "data at rest" in data centers, which Google LLC mentions as a technical measure—Google LLC, as the importer of personal data, still has an obligation to grant access to or hand over imported personal data that Google LLC controls, including any encryption keys required to make the data intelligible. Thus, such a technical measure cannot be considered effective as long as Google LLC has the ability to access personal data in plaintext.

Regarding what Google LLC has stated about "to the extent that information for measurement in Google Analytics transferred by website owners constitutes personal data, it may be considered pseudonymized," it can be noted that universally unique identifiers (UUID) are not included in the concept of pseudonymization in Article 4.5 of the Data Protection Regulation. Pseudonymization can be a privacy-enhancing technique, but the unique identifiers have, as described above, the specific purpose of distinguishing users and not functioning as protection. Additionally, individuals can be identified through what has been stated above regarding the possibility of combining unique identifiers and other data (e.g., metadata from browsers or devices and the IP address) and the ability to link such information to a Google account for logged-in users.

Regarding Google's action of "anonymizing IP addresses" in the form of truncation, it is not clear from Google's response whether this action occurs before the transfer, or if the entire IP address is transferred to the U.S. and truncated only after the transfer to the U.S. From a technical perspective, it

has thus not been demonstrated that there is no potential access to the entire IP address before the last octet is truncated.

In this context, IMY concludes that the additional protective measures taken by Google are not effective, as they do not prevent U.S. intelligence services from accessing personal data or render such access ineffective.

2.4.2.3.2 CDON's Own Additional Protective Measures

CDON has stated that the company has taken additional protective measures beyond those implemented by Google. According to CDON, these consist of the activation of

28 See EDPB's Recommendations 01/2020, point 81.

29 Truncation of an IP address means that asterisks or zeros replace other digits in the last octets (the last numbers in an IP address, a number between 0 and 255).

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the function for truncation³⁰ of the last octet in the IP address before the data is transferred to Google, which means that the last octet is masked.³¹

As stated above regarding Google's actions, it is not clear from Google's response whether this action takes place before the transfer or if the entire IP address is transferred to the USA and truncated only after the transfer to the USA. From a technical perspective, it has therefore not been demonstrated that there is no potential access to the entire IP address after the transfer before the last octet is truncated.

Even if truncation were to occur before the transfer, it is not a sufficient measure, as the truncated IP address can be linked to other data, as IMY noted above in section 2.2.2. Truncation of an IP address means that only the last octet is masked, which in itself can only be one of 256 options (i.e., in the range of 0–255), and because the truncated IP address can be distinguished from other IP addresses, this information can be linked to other data (as noted above in section 2.2.2) and enable identification, which in itself is sufficient to determine whether the data together constitute personal data. Even though masking the last octet constitutes a privacy-enhancing measure, as it limits the scope of the data that authorities can access (in third countries), IMY notes that it is still possible to link the transferred data to other data that is also transferred to Google LLC (in third countries).

In this context, IMY concludes that the additional measures taken by CDON beyond the additional measures taken by Google are also not sufficiently effective to prevent U.S. intelligence agencies from accessing personal data or to render such access ineffective.

2.4.2.3.3 Conclusion of the Swedish Data Protection Authority

IMY finds that the measures taken by CDON and Google, either individually or collectively, are not sufficiently effective to prevent U.S. intelligence agencies from accessing personal data or to render such access ineffective.

In light of this, IMY finds that neither standard contractual clauses nor the other measures invoked by CDON can provide the support for the transfer as specified in Chapter V of the General Data Protection Regulation.

By virtue of this transfer of data, CDON therefore undermines the level of protection for personal data for data subjects guaranteed in Article 44 of the General Data Protection Regulation.

IMY therefore concludes that CDON AB is in violation of Article 44 of the General Data Protection Regulation.

3 Choice of Intervention

3.1 Legal Regulation

IMY has a number of corrective powers available in the event of violations of the General Data Protection Regulation according to Article 58.2 a–j of the General Data Protection Regulation, including reprimands, orders, and administrative fines.

30 Truncation of an IP address means that asterisks or zeros replace other numbers in the last octet (the last numbers in an IP address, a number between 0 and 255).

31 See above in the section regarding what CDON has stated, under the heading "Additional Protective Measures Taken."

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IMY shall impose administrative fines in addition to or instead of other corrective measures referred to in Article 58.2, depending on the circumstances of each individual case. Each supervisory authority shall ensure that the imposition of administrative fines in each individual case is effective, proportionate, and deterrent. This is stated in Article 83.1 of the General Data Protection Regulation (GDPR).

Article 83.2 of the GDPR specifies the factors to be considered when determining whether an administrative fine should be imposed, as well as when determining the amount of the fine. If it concerns a minor infringement, IMY may, as stated in Recital 148, instead of imposing a fine, issue a reprimand in accordance with Article 58.2 b of the Regulation. In the assessment, aggravating and mitigating circumstances in the case should be taken into account, such as the nature, severity, and duration of the infringement, as well as previous relevant infringements.

The EDPB has adopted guidelines on the calculation of administrative fines under the GDPR aimed at creating a harmonized method and principles for calculating fines.³²

3.2 Should a fine be imposed?

IMY has found above that the transfers of personal data to the USA that occur via the Google Analytics tool, for which CDON is responsible, violate Article 44 of the GDPR. Violations of that provision may, according to Article 83, lead to administrative fines.

In light of, among other things, the fact that CDON has transferred a large amount of personal data, that the processing has been ongoing for a long time, and that the transfer has meant that the personal data could not be guaranteed the level of protection provided in the EU/EEA, it is not a minor infringement. CDON shall therefore be imposed an administrative fine for the established infringement. See further below under 3.3 for a detailed description of the seriousness of the infringement.

3.2.1 What amount should the fine be determined at?

When determining the maximum amount for an administrative fine to be imposed on a company, the definition of the term "company" used by the Court of Justice of the European Union in the application of Articles 101 and 102 of the Treaty on the Functioning of the European Union (TFEU) shall be used (see Recital 150 of the GDPR). The case law of the court indicates that this includes any entity engaged in economic activity, regardless of the legal form of the entity and the manner of its financing, and even if the entity legally consists of several natural or legal persons.³³

According to Article 83.5 c of the GDPR, in the event of a violation of, among other things, Article 44 in accordance with 83.2, administrative fines of up to 20 million EUR or, if it concerns a company, up to 4% of the total global annual turnover during the preceding financial year shall be imposed, depending on which value is higher.

IMY assesses that the company's turnover to be used as the basis for calculating the administrative fine is CDON's annual report for the year 2022. The company

32 EDPB Guidelines 8/2020 Guidelines 04/2022 on the calculation of administrative fines under the GDPR (adopted for public consultation on May 12, 2022).

33 See Judgment in Akzo Nobel, C-516/15, EU:C:2017:314, paragraph 48

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generated approximately 461,000,000 kronor during the budget year. This amount is less than 20 million EUR, and therefore the sanction fee can be determined to an amount of up to 20 million EUR. In determining the size of the sanction fee, IMY shall, taking into account the seriousness of the violation and considering both aggravating and mitigating circumstances, determine an administrative sanction amount that in the individual case is effective, proportional, and deterrent.

IMY assesses that the following factors are significant for the assessment of the seriousness of the violation.

Regarding the assessment of the severity of the violation, there are initially factors that warrant a more serious view of the violation. CDON has transferred a large amount of personal data to a third country. The transfer has meant that the personal data could not be guaranteed the level of protection provided in the EU/EEA, which in itself is a serious violation. Furthermore, it is aggravating that the transfer of personal data has been ongoing for a longer period, namely since August 14, 2020, and is still ongoing, and that it has occurred systematically. IMY also takes into account that it has now been approximately 3 years since the Court of Justice of the European Union, in its judgment of July 16, 2020, invalidated the Commission's decision on an adequate level of protection in the USA, thereby changing the conditions for the transfer of personal data to the USA.

The EDPB has during this time provided recommendations regarding the consequences of the judgment, which were subject to public consultation on November 10, 2020, and adopted in final form on June 18, 2021. In addition, several other supervisory authorities within the EU/EEA have issued orders to cease the use of the Tool until sufficiently effective security protection measures have been taken by the data controllers. The decisions have included cases where the data controllers have also taken measures such as "anonymization of IP addresses" in the form of truncation.

Despite these recommendations and decisions clearly indicating the risks and difficulties in ensuring an adequate level of protection for data transfers to companies in the USA, CDON has not taken its own additional protective measures. Google's action regarding the truncation of the IP address means that it is still possible to distinguish the IP address, as it can be linked to other transferred data to a third country (to the USA). This enables identification, which means that the data together constitutes personal data.

CDON's website is also a well-visited e-commerce portal that offers goods from many different suppliers and is available in several countries and in multiple languages. It concerns data about a large number of registrants in the EU/EEA who can be indirectly identified and

34 Commission Implementing Decision (EU) 2016/1250 of July 12, 2016, pursuant to the European Parliament and Council Directive 95/46/EC on whether an adequate level of protection is ensured by the Privacy Shield between the EU and the United States.

35 Austria's supervisory authority (Datenschutzbehörde) decision of April 22, 2022, regarding complaints against Google Analytics represented by NOYB with local case number 1354838270, France's supervisory authority (CNIL) decision of February 10, 2022, represented by NOYB, and Italy's supervisory authority (Garante) decision of June 9, 2022, regarding complaints against Google Analytics represented by NOYB, local case number 9782890.

36 Truncation of the IP address "anonymization of the IP address" means that asterisks or zeros replace other digits in the last octets (the last digits in an IP address, a number between 0 and 255), which in itself can only be one of 256 options. The effect of this measure means that it is still possible to distinguish the IP address from the other IP addresses (255 options), as the IP address can be linked to other transferred data (e.g., information about the device and time of the visit) to a third country (to the USA).

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whose data can be linked with other information about them. Regarding the nature of the data, it follows from CDON's own purpose with the processing – i.e., among other things, to be able to draw conclusions about how the registered individuals navigate on and find the Website, that the data collectively allows for relatively precise conclusions about the privacy of the registered individuals and to map them, such as regarding what they purchase and which products they are interested in over time. CDON's analysis of the Tool shows that there are proposals for a different solution than the Tool, but the company has chosen not to implement this solution due to the fact that such a change would be particularly burdensome for the company. CDON's processing of personal data entails risks for serious violations of individuals' freedoms and rights, which gives CDON a special responsibility that entails high demands when transferring to third countries, where IMY collectively assesses that CDON has not demonstrated that the company has conducted a sufficient analysis and mapping and has not taken the necessary security measures to limit the risks for the registered individuals.

IMY simultaneously notes that there are factors that speak in the opposite direction. IMY considers the special situation that has arisen after the ruling and the interpretation of the EDPB's recommendations, where there has been a gap after the transfer tool to the USA according to the Commission's previous decision was invalidated by the EU Court of Justice. IMY also considers that CDON has taken certain, albeit insufficient, measures to limit the personal data that were transferred by activating "anonymization of IP addresses" through truncation.³⁷ This circumstance is also taken into account in the assessment of the seriousness of the violations.

Overall, IMY assesses, in light of the circumstances presented, that the current violations are of low severity. The starting point for calculating the sanction fee should therefore be set low in relation to the current maximum amount. To ensure a proportional sanction fee in the individual case, there is also reason to adjust the starting point for the continued calculation downwards at this stage, taking into account the turnover that forms the basis for the calculation of the sanction fee.

In addition to the assessment of the seriousness of the violation, IMY shall assess whether there are any aggravating or mitigating circumstances that are relevant to the size of the sanction fee. IMY assesses that there are no additional aggravating or mitigating circumstances, beyond those considered in the assessment of severity, that affect the size of the sanction fee.

Based on a comprehensive assessment of the aforementioned circumstances and in light of the fact that the administrative sanction fee should be effective, proportionate, and deterrent, IMY assesses that the sanction fee can remain at 300,000 (three hundred thousand) kronor.

3.3 Other Interventions

In light of the established violation, IMY assesses that CDON shall be ordered under Article 58.2 d of the Data Protection Regulation to ensure that the company's processing of personal data within the framework of the company's use of the Google Analytics tool complies with Article 44 and other provisions of Chapter V. This shall particularly be done by ceasing to use the version of the tool

³⁷ Austria's supervisory authority (Datenschutzbehörde) decision of April 22, 2022, regarding complaints about Google Analytics represented by NOYB with local case number 1354838270, France's supervisory authority (CNIL) decision of February 10, 2022, represented by NOYB, and Italy's supervisory authority (Garante) decision of June 9, 2022, regarding complaints about Google Analytics represented by NOYB, local case number 9782890.

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Google Analytics that was used on August 14, 2020, unless sufficient protective measures have been taken. The measures must be implemented no later than one month after this decision has become final.

This decision has been made by the Director General Lena Lindgren Schelin after presentation by the

lawyer Sandra Arvidsson. In the final processing, the legal manager David Törngren, unit manager Catharina Fernquist, and IT and information security specialist Mats Juhlén have also participated. Lena Lindgren Schelin, 2023-06-30 (This is an electronic signature)

Appendix

Appendix 1 – Information on payment of the sanction fee

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4 Appeal Reference

4.1 How to Appeal

If you wish to appeal the decision, you must write to the Swedish Data Protection Authority. Indicate in the letter which decision you are appealing and the change you are requesting. The appeal must be received by the Swedish Data Protection Authority no later than three weeks from the day you received notice of the decision. If the appeal has been submitted in a timely manner, the Swedish Data Protection Authority will forward it to the Administrative Court in Stockholm for examination.

You can email the appeal to the Swedish Data Protection Authority if it does not contain any privacy-sensitive personal data or information that may be subject to confidentiality. The authority's contact details are provided on the first page of the decision.

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